

Duties to Clients

The agent is considered in law to represent the principal and to bring the principal into legal relationships with other parties. The needs of individuals are so complex that, to a large extent, such needs are fulfilled not by their own efforts but by the efforts of others on their behalf. If someone acts on behalf of another, he/she is considered in law to be an extension of that person. The law governing relations between these individuals and other persons is referred to as the law of agency. (*Trust in Real Estate Services Act, 2002 (TRESA)* :Agency and Agent.)

Agents owe principals (e.g., clients) their primary allegiance, including such duties as good faith and full disclosure, competence, obedience, and accounting. Fiduciary duties are best explained using the following six categories.

Disclosure: The agent must disclose to his/her principal any information relevant to the transaction in which the agent has been engaged to assist. This includes any facts affecting the value or desirability of the property and all known relevant and material information.

Competence: The agent must exercise a degree of competence when representing his/her principal such as would be expected from an average person in that occupation or profession. In all agency relationships, the law sees the agent as an extension of the principal. Thus, the principal is liable for the agent's actions. Therefore, the agent will be under a duty to use superior skill and knowledge while pursuing the principal's affairs. An agent who claims to be a specialist must exercise competence in that specialty.

Obedience: An agent is obligated to obey the principal's lawful and reasonable instructions, even if the agent doesn't agree with them.

Accounting: An agent is obligated to account for all monies or property entrusted to his/her care that belongs to the principal; i.e., safeguard any money or documents relative to the principal's transactions or affairs.

Confidentiality: An agent must not use information acquired as the principal's agent for any purpose that is likely to cause the principal harm or to interfere with the principal's business, now or in the future. The duty of confidentiality should not be confused with a real estate professional's responsibility to disclose known material facts about the property to non-principals. The obligation to disclose such facts, including defects, is based on the professional's duty to treat all persons fairly and honestly.

Loyalty: The most important duty an agent has toward the principal is loyalty.

The agent must place the interests of the principal above all else except the law in carrying out his/her functions as an agent.

Duties to Third Parties

Agents owe third parties (e.g., customers) the ethical duty to be honest, the legal duty not to misrepresent and the responsibility to exercise due care when answering inquiries